

with other factors. For an entire portfolio, risk is defined as variability of return. While the concept of variability is undoubtedly an important element of risk, the use of historical variability as a risk measurement can in itself be ludicrous. Over the past ten years, the stock market has been more volatile and provided more variability of return than in the previous 20 years. Not only have returns been more variable, but they have also been disappointingly low as a result of a rather constant erosion in the valuation of earnings, assets, and dividends.

The use of historical variability leads to the odd conclusion that stocks are riskier today at the 850 Dow Jones level than they were at 1050, i.e., riskier at 7 times earnings than they were at 20 times earnings. The same holds true for individual issues. A stock that declined in a jagged price pattern from 200% of book value while the stock market was stable or rising would show a high independent volatility. Does this mean that it is riskier after the decline than before? Or, take the case of two stocks with predicted future returns that are equal, say 15%, which have high financial quality and an equal history of price volatility. Yet, one of these stocks sells at 17 times earnings and the other at 6 times earnings. Are they equal in risk? The validity of such questions assures me that a satisfactory quantification of risk, except in hindsight, remains elusive.

FOREIGN EQUITIES

Recently, foreign equities have been advocated for inclusion in U.S. portfolios because they have had historically low covariance with U.S. stocks and have provided a higher return. Thus, foreign equities seem to offer a portfolio with both lower variability and higher returns. But shouldn't we remember that foreign industrialized economies started from a depressed level because of World War II, and were stimulated by U.S. policies of direct aid as well as other policies to